the technique of security analysis. But in many cases also the fact that an issue sells below liquidating value is a signal that mistaken policies are being followed and that therefore the management should take corrective action—if not voluntarily, then under pressure from the stockholders. Let us consider these two lines of inquiry in order.

ATTRACTIVENESS OF SUCH ISSUES AS COMMITMENTS

Common stocks in this category practically always have an unsatisfactory trend of earnings. If the profits had been increasing steadily, it is obvious that the shares would not sell at so low a price. The objection to buying these issues lies in the probability, or at least the possibility, that earnings will decline or losses continue and that the resources will be dissipated and the intrinsic value ultimately become less than the price paid. It may not be denied that this does actually happen in individual cases. On the other hand, there is a much wider range of potential developments which may result in establishing a higher market price. These include the following:

1. The creation of an earning power commensurate with the company's assets. This may result from:
   a. General improvement in the industry.
   b. Favorable change in the company's operating policies, with or without a change in management. These changes include more efficient methods, new products, abandonment of unprofitable lines, etc.
2. A sale or merger, because some other concern is able to utilize the resources to better advantage and hence can pay at least liquidating value for the assets.
3. Complete or partial liquidation.

Examples of Effect of Favorable Developments on Such Issues. *General Improvement in the Industry.* Examples already given, and certain others, will illustrate the operation of these various kinds of favorable developments. In the case of Pepperell the low price of 17$^1/_2$ coincided with a large loss for the year ended June 30, 1932. In the following year conditions in the textile industry improved; Pepperell earned over $9 per share and resumed dividends; consequently the price of the stock advanced to 100 in January 1934 and to 149$^3/_4$ in 1936.